

AUDIT REPORT • OIG-2027-09

# Grants Management Audit

The Inspector General's review of how the Workforce Development Office administers its \$84M federal grant portfolio.



## **The finding: the office is materially compliant, with three correctable control gaps.**

We reviewed grant administration against the federal Uniform Guidance.

The office meets most requirements, but three control gaps — in subrecipient monitoring, time-and-effort certification, and conflict-of-interest disclosure — expose it to disallowed-cost risk. All three are remediable this fiscal year.



## **What we audited, and against what standard.**

We examined 62 grant awards totalling \$84M over two fiscal years, testing them against the federal Uniform Guidance (2 CFR 200). The scope covered award, monitoring, financial reporting, and closeout. Sampling was risk-weighted toward the largest and oldest awards.

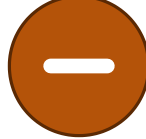
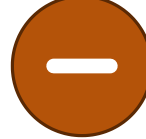


## **How we tested compliance.**

We traced a stratified sample of 240 transactions to source documents, interviewed 14 program and finance staff, and re-performed the office's own monitoring checks. Each requirement was rated compliant, partially compliant, or non-compliant against the cited regulation.



# Where the office stands against each Uniform Guidance obligation.

| REQUIREMENT            | AWARD                                                                                 | MONITOR                                                                               | REPORT                                                                                | CLOSE                                                                                 |
|------------------------|---------------------------------------------------------------------------------------|---------------------------------------------------------------------------------------|---------------------------------------------------------------------------------------|---------------------------------------------------------------------------------------|
| Subrecipient oversight |    |    |    |    |
| Time & effort          |    |    |    |    |
| Conflict of interest   |   |   |   |   |
| Financial reporting    |  |  |  |  |
| Procurement standards  |  |  |  |  |

Filled = compliant, half = partially compliant, empty = non-compliant.



## **The three gaps, in order of exposure.**

Subrecipient monitoring is the largest: 4 of 18 subrecipients had no documented risk assessment. Time-and-effort certifications ran an average of 47 days late. Conflict-of-interest disclosures were missing for 3 of 31 award-decision staff. None produced a confirmed disallowed cost — yet.



# Where each finding sits on likelihood against financial impact.

**Likely • Low impact.**

Late time-and-effort certifications

**Likely • High impact.**

Unmonitored subrecipients holding large awards

**Unlikely • Low impact.**

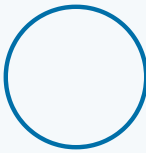
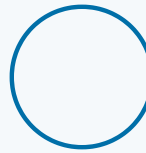
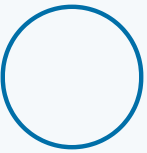
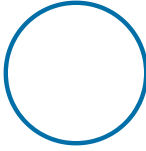
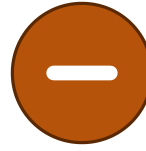
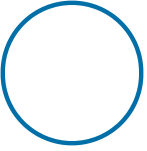
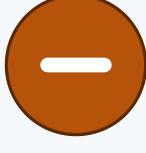
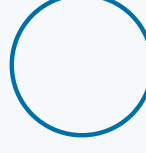
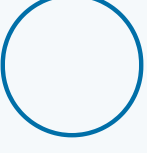
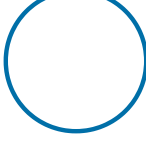
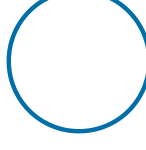
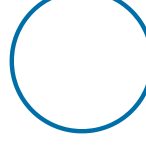
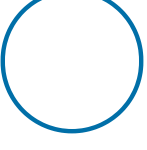
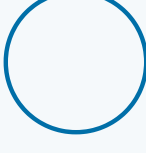
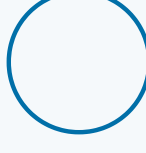
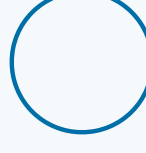
Isolated procurement-doc gaps at closeout

**Unlikely • High impact.**

Undisclosed conflict tainting an award decision



# Read for exposure: the same findings as a risk heat map.

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| Conflict of interest   |   |   |   |   |
| Financial reporting    |  |  |  |  |
| Procurement standards  |  |  |  |  |

Filled = high exposure, half = moderate, empty = controlled.



# The remediation plan, sequenced by exposure.

STEP 01

**Risk-assess  
subrecipients**

Complete a documented risk assessment for all 18 subrecipients and a monitoring schedule for the four highest-risk within 60 days.



STEP 02

**Fix certification  
cadence**

Move time-and-effort certification to a monthly automated workflow, eliminating the 47-day lag, within 90 days.



STEP 03

**Close disclosure gaps**

Collect outstanding conflict-of-interest disclosures and add a pre-award gate that blocks decisions without one, within 30 days.



STEP 04

**Verify and re-test**

The OIG re-tests the three controls at the close of the fiscal year and reports residual risk.



# What management has committed to, and by when.

01

## **Subrecipient monitoring restored**

All risk assessments documented; quarterly monitoring resumed. Due Q3.

02

## **Certification lag eliminated**

Automated monthly workflow live; zero certifications past 30 days. Due Q3.

03

## **Disclosure gate in place**

No award decision without a current disclosure on file. Due Q2.

04

## **Independent re-test passed**

OIG confirms all three controls operating at year-end. Due Q4.



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Materially compliant,  
three gaps to close, all  
fixable this year.